

Employing in Panama

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the Panamanian Labour Code
- **Monthly payroll** — salary payments in USD (Panama's official currency), itemised payslips
- **Tax withholding** — progressive ISR income tax withheld and remitted monthly
- **CSS & Seguro Educativo** — social security and educational insurance contributions
- **Leave and termination management** — Décimo Tercer Mes, seniority bonus and severance guidance

Employment Conditions

Contracts & Probation

Panama uses the US dollar (Balboa is pegged 1:1 to USD) as its official currency, simplifying cross-border payroll comparisons. Social security registration is mandatory from an employee's very first day.

Item	Detail	Legal Basis
Probation period	Maximum 3 months	Labour Code
CSS registration	Mandatory from day 1 of employment	Social Security Code
Minimum wage decree	Updated by Executive Decree No. 13 (effective 16 January 2026), with 59 new rates across 74 activities	Executive Decree No. 13, 2026

Minimum Wage & Statutory On-Costs (2026)

Measure	Rate	Notes
Minimum wage (Region 1 — Panama City area)	~USD \$364/month	Effective 16 January 2026
Minimum wage (Region 2 — other areas)	~USD \$337/month	Effective 16 January 2026
Employer CSS contribution	~12%–13% of gross salary	Covers pension, sickness, maternity and disability
Seguro Educativo (employer)	1.5% of gross salary	Funds MEDUCA scholarships and educational infrastructure

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	30 days per 11 months of service	Employer	Labour Code minimum — generous by regional standards
Décimo Tercer Mes (13th month)	1 month's salary/year, split into 3 equal installments	Employer	Paid 15 April, 15 August and 15 December; calculated on ordinary + extraordinary earnings
Prima de Antigüedad (seniority bonus)	1 week's salary per year of service	Employer	Paid on termination, based on total tenure

★ HERO TIP

Panama's Décimo Tercer Mes is split into three equal payments (April, August, December) rather than one or two lump sums as in most of the region — build all three dates into the payroll calendar rather than assuming a single year-end bonus cycle. Panama's total employer overhead (~17% by most regional estimates) is notably lower than Costa Rica's (~39%), making it a cost-competitive alternative within Central America.

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
Employer CSS contribution (illustrative, 12.5%)	\$375.00	12.50%
Seguro Educativo (1.5%)	\$45.00	1.50%
Décimo Tercer Mes accrual (1/12)	\$250.00	8.33%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$4,270.00	~142.3%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. Panama's employer overhead (~17% by most regional benchmarks) is one of the lowest in Central America. Employee deductions (withheld separately) include CSS employee share (~9.75%) and progressive ISR income tax.

Termination & Separation

Notice (preaviso) is required — 15 or 30 days depending on tenure, or payment in lieu. Indemnización (severance) for unjustified dismissal can reach up to 9.9 weeks'

salary per year of service, on top of the seniority bonus (prima de antigüedad) which is a separate, always-payable entitlement regardless of the reason for termination.

Public Holidays 2026

Date	Holiday	Type
1 January	New Year's Day	National
~February	Carnival Tuesday	National
3 April	Good Friday	National
1 May	Labour Day	National
3 November	Independence Day (Separation from Colombia)	National
4 November	Flag Day	National
28 November	Independence from Spain	National
8 December	Mother's Day	National
25 December	Christmas Day	National

Ready to hire in Panama?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Panama employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).